"As the crypto and blockchain space evolves further we should be seeing decentralised management of copyrights, which then could be linked or encoded with the NFTs instead of just residing as a metadata."

—Jothi Krishnan Menon, co-founder & CEO, RtistiQ

tweet—'just setting up twttr'—for $2.9 million. In December 2021, digital artist Pak's *The Merge* fetched $91.8 million on Nifty Gateway!

Auction houses started tying up with digital artists, celebrities started making NFTs of their milestones and memories, sports leagues started launching NFT based trading cards embedded with top shots and historic moments, and companies ranging from fashion to food started launching themed NFT collectibles.

NFTs became so popular in 2021 that many experts found it a bit crazy! Some connected it to the boom in cryptocurrencies at that time. The price of cryptocurrencies skyrocketed in the first quarter of 2021. The price of Ether skyrocketed more than 1000% year on year, and that of Bitcoin rose more than 600%. This meant major returns for early crypto-buyers, which they started investing in digital assets. The Beeple, for example, was bought by Vignesh Sundaresan *aka* Metakovan, and Anand Venkateswaran *aka* Twobadour, two South Indian crypto-billionaires based in Singapore.

A few analysts even attributed the NFT trend to the Boredom Markets Hypothesis. The theory, proposed by lawyer and Bloomberg columnist Matt Levine in 2020, says that people will buy stocks when buying stocks is more fun than other things they could be doing for fun. So, many experts thought that since many missed their usual fun activities during the 2021 lockdown, they resorted to trading intangibles. Most predicted that the bubble would burst once people got back to their usual activities. But it does not seem to be so; NFTs are still on a bullish run!

Shaking up the art world

Considering that it is art that threw NFTs into the limelight, we think this demands some special attention before we delve into other segments of NFTs.

Digital art: NFTs offer a great way to monetise digital art. Artists can mint NFTs of their digital art and sell them on digital marketplaces. They can engage directly with their fans on social media and create enough awareness (or hype) about the NFT to ensure it sells when launched. International art dealer, Stephen Howes of Thomas Crown Art, remarked in a recent press release on NFTs, "It allows artists to make some money and exercise control over their work, to sell it more easily, reach a global audience, to more strongly protect against others appropriating it without permission, and sidestep the traditional biases of the 'art industry mafia'."

Figure 2: 'The Coquette'—a privately-held painting of Raja Ravi Varma, recently digitised and launched with the exclusive digital signatures of the Raja Ravi Varma Heritage Foundation (Source: RtistiQ)

There have been stories of people who made their fortune through NFTs. Robness, popularly known for his trash can art, was living out of his car and doing odd jobs when he started dabbling in the crypto world in 2014. He is now an NFT artist, with projects hosted across many marketplaces. His NFTs depict many elements of modern life—including trash cans, and an application he made to McDonalds! Most notable is his *64 Gallon Toter*, an NFT made from a photo of a trash can, which sold for $252,000 on OpenSea, and is currently valued at around $80,848,305.

Not ones to miss the trend, leading auctioneers like Christie's and Sotheby's have also tied up with famous digital artists like Sara Zucker and Refik Anadol to sell NFTs associated with their digital artwork, showcasing them in virtual galleries and real-life screens. Sotheby's even has a gallery in the virtual world Decentraland.

Physical art: NFT helps to build trust and transparency into the traditional art market too. Considering that art has usually been a high-value space and one shrouded in mystery (there have been gruesome crimes committed for the sake of art) a reliable method of authentication and the ability to track-and-trace can solve many headaches, including counterfeiting, theft, and fraud.

"NFTs (off-chain) represent a digitised proof of ownership of an asset (or even a liability) irrespective of its nature. In the case of physical art, it effectively replaces the physical Certificate of Authenticity issued by the creators, which has always been susceptible to tampering, in the absence of an issuing authority. As an extension to the tokenisation of physical art, we also offer a tamper-evident microchip, which acts as the physical-digital link for the artwork and can be verified for authenticity using any near-field-